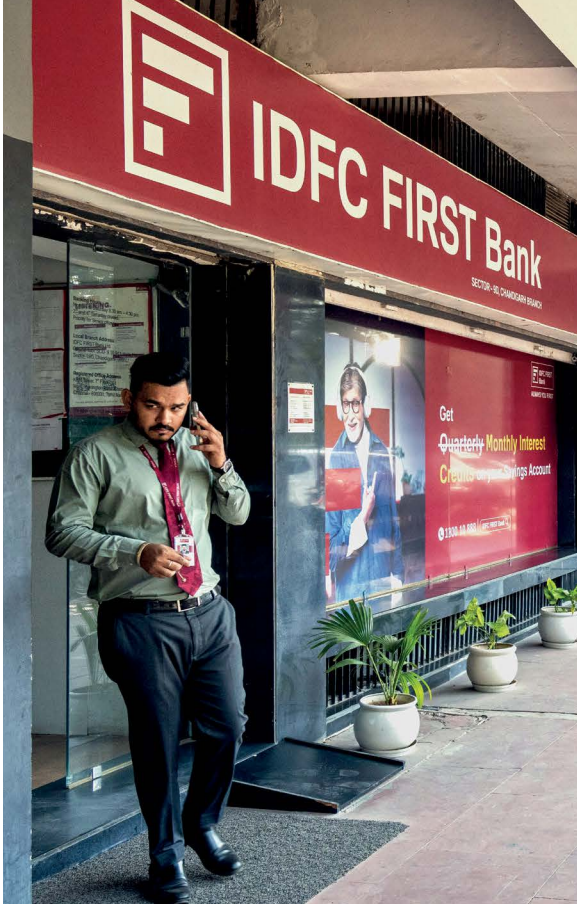
CRACK IN THE VAULT

A SUSPECTED Rs 590-CRORE FRAUD AT A CHANDIGARH BRANCH OF IDFC FIRST BANK HAS EXPOSED HOW OPERATIONAL WEAKNESS AND MANUAL PROCESSES CAN UNDO TECH-LED CONTROLS

By ANILESH S. MAHAJAN



It began as a routine government exercise. In mid-January, officials from Haryana's Directorate of Treasuries and Accounts (DTA) wrote to a Chandigarh branch of IDFC First Bank, seeking the closure of several long-running accounts and the transfer of the balances to the government's Axis Bank account. As part of the standard reconciliation practice ahead of the fiscal year-end, the DTA compared the bank's balance confirmations with figures in the government's Integrated Financial Management System (IFMS). The figures did not tally: deposits reflected in the government's books were missing from the bank's statements.

The first alarm was raised by mid-level treasury officers and escalated to chief secretary Anurag Rastogi, who ordered an immediate reconciliation. It revealed discrepancies across multiple accounts spanning several departments. Manual cheque clearances, forged signatures and suspicious debit entries pointed to manipulation. By early February, the hole was estimated at nearly Rs 590 crore—larger than the bank's Q3FY26 net profit of Rs 503 crore. The bank claims to have returned Rs 583 crore (principal plus interest).

On February 24, Haryana chief minister Nayab Singh Saini, who also holds the finance portfolio, told the assembly that "the entire amount lost, including the funds of some Haryana government departments, boards and corporations, has been deposited back into our accounts within 24 hours". He added that a case had been lodged and the Anti-Corruption Bureau (ACB) was investigating.

THE SHOCKWAVE

On February 21, IDFC First Bank formally reported to the Reserve Bank of India (RBI) that it had detected a suspected fraud. In a filing to the stock exchanges the same day, the bank confirmed that about Rs 590 crore was involved. Though it described the affair as an "isolated incident", the disclosure rattled the markets. On February 23, the bank's shares plunged nearly 20 per cent in a single trading session, erasing Rs 14,000 crore in investor wealth.

Regulators sought to calm nerves. RBI governor Sanjay Malhotra said the central bank was "watching developments" but saw no "systemic issue", signalling that the incident did not threaten broader banking stability.

"This is a specific, isolated incident in one branch with one client group," said V. Vaidyanathan, MD & CEO, IDFC First Bank. "Cheques have been forged. A bunch of people have come together to make it happen." He added that the bank's core position remained strong, with operating profit having crossed 2 per cent and expected to reach 3.5 per cent, while margins were likely to improve to 5.8 per cent in Q4. Haryana government deposits accounted for about 0.5 per cent of total deposits; following the state's notification, the bank saw an outflow of around Rs 200 crore—a small fraction of its Rs 2.8 lakh crore deposit base.

Some board members told INDIA TODAY that the bank held emergency